share his ‘succession plans’ and his choices of potential successors with Soonawala and him. Many names did the rounds. News reports seemed to hint that Kerkar would be happy if the choice would be made out of Camellia Panjabi, Leonard Menezes and N.B. Daruwala, whose profiles he had sent to the IHCL board.

Ratan, however, had other plans. He needed somebody whom he could completely trust and who, in his view, had proven capability to steer the company. One name that had come to his mind was R.K. Krishna Kumar. Ratan also saw the need to keep IHCL closely with the group. It was doing well and some even termed it the ‘golden goose’ of the Tata Group. Its EBITDA in 1997 was nearly Rs 250 crore and its gross revenue for the year was over Rs 576 crore. More importantly, the service industry was expected to see attractive growth in the future. Ratan wanted a team player who understood the importance of bringing cohesion in the group to survive in the age of liberalization.

At Tata Tea’s board meeting held on 21 August 1997, Ratan announced that Krishna Kumar ‘was one of the candidates presently being considered for the position of managing director of another major Tata Company’. Kerkar was, however, determined to push his favourite candidates. But they were at a disadvantage as news about Kerkar violating government guidelines to raise funds had begun to surface.

Cutting Corners

For some months, news about alleged financial irregularities committed by Kerkar had been doing the rounds. In January 1997, the Union finance minister and Ratan ‘received letters from a former employee’ of IHCL, accusing Kerkar and other senior executives of ‘gross financial mismanagement and the siphoning off of funds to the tune of Rs 100 crore a year’. The letter alleged that several IHCL financial transactions had ‘violated Indian laws’. It included the investments made by the Kerkar-led IHCL in ‘projects outside India without the minimum by-your-leave’ from the Indian government. For example, IHCL had invested Rs 35 lakh in the Sri Lankan Bentota resort project in 1981 but had informed the RBI about it only in 1996.

After the irregularities became public, Kerkar apologized in a handwritten letter to Ratan for all the ‘inconvenience’ he had caused him. As Kerkar had devoted almost his entire life to the Tatas, Ratan proposed a